

Quarterly Investment Report

Q4 2022 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	58.4%	-1.99%	-3.66%
Credit	22.4%	-1.87%	-0.41%
Equities	10.3%	+4.42%	-2.41%
Property	7.3%	+0.59%	-0.11%
Cash	6.9%	+1.42%	+2.12%

Market Commentary

During Q4 2022, gilt yields moved by approximately +35bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.